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Case Name: Topete v. Claire's Boutiques, Inc., et al. (PAGA)
Case No.: 22CV407922

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 26, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a representative action for civil penalties pursuant to the Private Attorneys General Act ("PAGA"), arising from alleged wage and hour violations. On November 23, 2022, plaintiff Karina Topete ("Plaintiff") began this action by filing a complaint against defendants Claire's Boutiques, Inc., and Claire's Stores, Inc., asserting causes of action for: (1) civil penalties pursuant to PAGA for violations of Labor Code and Industrial Welfare Commission ("IWC") Wage Order No. 7-2001, subdivision 14(A); and (2) civil penalties pursuant to PAGA for violations of Labor Code and Industrial Welfare Commission ("IWC") Wage Order No. 7-2001, subdivision 14(B). On December 8, 2023, the court issued an order deeming the case complex and staying the discovery and responsive pleading deadline.

On February 28, 2025, Plaintiff filed the motion now before the court, a motion for preliminary approval of class action and PAGA settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.____, 2022 U.S. LEXIS 2940.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. DISCUSSION

Plaintiff Topete moves for approval of a settlement intended to resolve three separate actions. (Declaration of Raul Perez, filed on February 28, 2025 (“Perez Decl.”), ¶¶ 2-5 and Ex. 1 (“Settlement”), ¶ 1.) As discussed above, the action filed by Plaintiff Topete in this court is a PAGA-only action. The other two actions are: *Cuevas v. Claire’s Boutiques, Inc.* (C.D. Cal., 2022, No. 5:22-cv-01953-JGBSP) (the “Cuevas Action”); and *Luna v. Claire’s Boutiques, Inc.* (C.D. Cal., 2023, No. 5:23-cv-01740-JGB-SP (C.D. Cal.) (the “Luna Action”). (Perez Decl., ¶ 2; Settlement, ¶ 1.)

On July 28, 2022, plaintiff Daniel Cuevas began the *Cuevas* action by filing a wage and hour complaint against Claire’s Boutiques, Inc. (“Defendant”) in San Bernardino County Superior Court. (Perez Decl., ¶ 3.) On November 4, 2022, Defendant removed the action to the United States District Court for the Central District of California. (*Ibid.*) On May 24, 2023,

plaintiff Cuevas filed a first amended complaint in federal court, adding Alexis Zapeda Coutts as a plaintiff and adding a PAGA claim. (*Ibid.*) On March 28, 2023, plaintiff Maria Luna began the *Luna* Action by filing a wage and hour complaint against Defendant in San Bernardino County Superior Court. (*Ibid.*) On August 25, 2023, Defendant removed the *Luna* Action to the United States District Court for the Central District of California. (*Ibid.*)

On May 1, 2024, the parties participated in a global mediation with Jeffrey Fuchsman, resulting in the proposed settlement for which Plaintiff Topete now seeks approval. The Settlement provides:

As a condition of settlement, the Parties will stipulate to the filing of a First Amended Complaint (“FAC”) in the Topete Action to: (a) add Daniel Cuevas, Alexis Zapeda Coutts, and Maria Luna as named plaintiffs; and (b) conform the pleadings with the scope of the Released Class Claims and Released PAGA Claims. Defendant will not be required to file an answer or other responsive pleading to the FAC. If, for any reason, the Court does not approve of the Settlement, or if the Settlement does not become final for any reason, then the FAC will be deemed withdrawn and the Complaint will again become the operative complaint without prejudice to Plaintiffs’ right to seek leave to file another amended complaint and without prejudice to Defendant’s rights to object and/or challenge an amended pleading. Defendant does not impliedly or expressly waive any arguments or defenses to the FAC.

(Settlement, ¶ 33.) The Settlement contains release provisions for class and PAGA claims. (*Id.* at ¶¶ 25-26.)

Here, the court finds that Plaintiff has not established that this court has jurisdiction over the non-PAGA allegations. Plaintiff has not yet filed an amended complaint adding allegations on behalf of a class, nor does a proposed first amended complaint appear within Plaintiff’s moving papers. No motion for coordination or consolidation has been put before this court, nor is there any indication whether the federal court has remanded the *Cueva* Action or the *Luna* Action. The proposed settlement does not appear to contain any provision regarding the dismissal of the *Cuevas* and *Luna* Actions.

The court appreciates the parties efforts in working to resolve the actions in question. Nevertheless, under these circumstances, it is unclear to the court how it could have jurisdiction to issue a ruling regarding class claims that are currently pending in federal court and not in this court. (See *Varian Med. Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 196 [a judgment or order rendered by a court lacking subject matter jurisdiction is “void on its face”];

see also *People v. National Automobile & Casualty Ins. Co.* (2000) 82 Cal.App.4th 120, 125 [subject matter jurisdiction cannot be conferred by consent, waiver, or estoppel].)

Accordingly, the motion for preliminary approval shall be CONTINUED, and prior to the continued hearing, the parties shall meet and confer to see whether they can resolve the issues addressed above, and Plaintiff's counsel shall file supplemental material advising the court of the parties progress in that regard.

IV. CONCLUSION

The motion for preliminary approval is CONTINUED to July 2, 2025 at 1:30 p.m. in Department 19. Prior to the continued hearing, the parties shall meet and confer to see whether they can resolve the court's concerns discussed herein. At least ten court days prior to the continued hearing, Plaintiff's counsel shall file supplemental materials advising the court of the parties' progress, including any amended agreement or relevant stipulation(s).

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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